roles the PSUs were supposed to play this was the most far-sighted. Whatever happened to the different roles the PSUs were assigned is a totally different matter to which we will return while discussing the industrial scenario in the country. Here we have analysed why the government in India after Independence went for such an ambitious plan of expansion of the public sector.

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1. Bipan Chandra, Mridula Mukherjee and Aditya Mukherjee, **India After Independence,** Penguin Books, N. Delhi, p. 341.
2. Bipan Chandra, **The colonial legacy** in Bimal Jalan ed. ***The Indian Economy: Problems and Prospects***, Penguin Books, N. Delhi, Revised Edition, 2004, p. 5.
3. B.R. Tomlinson, **The Economy of Modern India 1860–1970,** Cambridge University Press, Cambridge, London, 1993, p. 7.
4. Angus Maddison, **The World Economy: A Millennial Perspective,** OECD, Paris, 2001, p. 116.
5. A. Vaidyanathan, ***The Indian Economy Since Independence (1947–90)*** in Dharma Kumar (ed.), **The Cambridge Economic History of India,** Vol.II, Cambridge University Press, Cambridge, England, Expanded Edition, 2005, p. 947.
6. Angus Maddison, op. cit., p. 116.
7. The respective data of Digby and Atkinson have been quoted by Sumit Sarkar, **Modern India 1885–1947,** Macmillan, N. Delhi, 1983, p. 42.
8. Recounted vividly by ***Mike Davis*** in his **Late Victorian Holocaust: EI Nino Famines and the Making of the Third World,** (Verso, London & New York, 2001, p. 162) where he links the monsoon failures in India to El Nino - Southern Oscillation (ENSO) climate fluctuations in the western Pacific—the monsoon failure leading to drought and hunger one year and then to a severe malaria epidemic the next when the rains reappeared and a burst of mosquito abundance afflicted a weakened population.
9. Bipan Chandra et. al., **India's Struggle for Independence,** Penguin Books, N. Delhi, 1989, p. 15.
10. The Government of India had shown such an intention in two regular Union Budgets (i.e. the fiscals 2000–01 and 2001–02) but has not announced the shift officially.
11. **Tenth Five Year Plan (2002–07),** Planning Commission, GoI, N. Delhi, 2002.
12. It has been argued by the economists time and again that India is a typical example of 'market failure'. Market failure is a situation when there are goods and services in an economy and its requirement too but due to lack of purchasing power the requirements of the people are not translated into the demand. Whatever industrial goods and services India had been able to produce they had stagnated or stunted sales in the market as the largest section of the consumers earned their livelihood from the agriculture sector unable to create a purchasing power to the levels required by the market. As agricultural activities will become more gainful and profitable the masses depending on it will have the level of purchasing capacity to purchase the industrial goods and services from the market. Thus, the Indian market won't